Poland's central bank president: Inflation on target, but rate hike risks have risen

The National Bank of Poland's Monetary Policy Council has turned slightly more hawkish while remaining in wait-and-see mode. A rate hike would depend on how long inflation stays above 3.5% and whether forecasts point back to the NBP's target. CPI risks look balanced, but the odds of a hike have risen

National Bank of Poland Governor Adam Glapinski

Decision background

At the May press conference, the President of the National Bank of Poland, Adam Glapinski, stated that inflation in Poland remains consistent with the inflation target and within the permissible deviation band of 2.5% +/- one percentage point. As a result, the Monetary Policy Council left interest rates unchanged.

According to the NBP, the recent rise in inflation reflects higher fuel prices driven by the conflict in the Middle East. Global crude oil prices remain elevated (above US$100/bbl), representing a pure supply-side shock that will push inflation higher in the coming months.

Energy shock less severe than in 2021–22

The overall assessment of the CPI backdrop seems balanced, similar to last month. President Glapinski reiterated that the current energy shock is significantly lower in magnitude than in 2021–22, particularly in the gas market. Coal prices are also rising only modestly, helping to stabilise electricity prices, as coal is used in Poland to generate electricity.

In the NBP's assessment, inflation is unlikely to reach levels seen during the previous shock. Agricultural commodity prices are lower than a year ago, supply chains outside of energy remain undisrupted, and the zloty is stable. The supply shock is not accompanied by excessive demand. GDP growth likely slowed in the first quarter compared with the fourth. Labour market conditions are less tight than in previous years, with business wages growing at the slowest pace in five years in the first quarter, while employment in the enterprise sector continues to decline. Interest rates in Poland and globally are also lower than at the onset of the previous energy crisis.

Glapinski also emphasised that higher energy prices work in two directions: they push inflation higher but also weaken households' purchasing power and weigh on consumption.

The NBP now assesses growth prospects for 2026 as weaker than previously expected, with GDP growth of around 3.5% rather than the roughly 4% projected in March. While higher fuel prices will spill over into other goods and services, monetary policy must consider the medium-term impact on both inflation and economic activity.

Glapinski stressed that the energy shock is not being underestimated by the central bank, and it is closely monitoring economic developments. He noted the rise in core inflation and higher air ticket prices. Elevated uncertainty means the scale and persistence of inflationary pressures cannot yet be assessed precisely.

Monetary policy outlook

Discussing factors shaping future rate decisions, Glapinski pointed to energy prices, regulatory decisions on energy tariffs, and tax measures affecting fuel prices (excise duty and VAT). The key point in the monetary policy guidance is the rising odds of CPI staying above the upper bound. The NBP may react if a +3.5% CPI rate proves persistent and projections push the return to target further out. The July projection will be the key decisive point. The MPC made it clear that it will not hesitate to act if necessary to curb excessive inflation. We find this kind of statement as an attempt to control inflation expectations.

President Glapinski acknowledged that the **probability of an NBP rate hike has increased** since the April MPC meeting. While a **rate increase cannot be ruled out**, the prospect of rate cuts is currently viewed as unlikely. A trigger for tightening would be inflation exceeding the upper bound of the NBP's target range and projections pointing to its persistence over the medium term.

Summary

The MPC remains in wait-and-see mode, closely observing the impact of the unfolding energy shock on the economy while noting higher inflation risks. The press conference signalled greater caution than the post-meeting statement. Although inflation risks have risen, the current shock is still seen as supply-driven and less threatening than in 2019–23.

In our view, NBP rates are likely to remain unchanged in the coming months. A key milestone will be the July macroeconomic projection, which will shape the outlook for inflation and growth. How long inflation stays above 3.5% remains central to the MPC's reaction function. We still think the CPI shock should prove temporary, although recent developments in the Middle East raise the risk of persistently higher oil and gas prices, with still limited pass through to the rest of the CPI basket.

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